

Principles 1 & 2 A Clear Nominal Anchor and Consistency Between Objectives

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Note

1. Why Principles Matter

The success of modern monetary policy frameworks rests on a small set of guiding principles that ensure policy is credible, consistent, and transparent. Among these, the first two are foundational: a clear nominal anchor and internal consistency among policy objectives. Without a well-understood anchor, monetary policy lacks focus and credibility. Without consistency among objectives, even a credible anchor can lose meaning over time. As Freedman and Laxton (2009) emphasize, these principles are not theoretical; they form the operational backbone of successful inflation-targeting frameworks worldwide.

2. Principle 1: A Clear Nominal Anchor

A nominal anchor defines what the central bank ultimately controls to achieve price stability. It is the fixed point that guides expectations of households, firms, and markets. In inflation-targeting regimes, that anchor is the publicly announced **point target** for inflation, supported by credible communication and consistent actions.

FPAS Mark II emphasizes a point target accompanied by a **variation band** whose purpose is only to communicate the uncertainty inherent in forecasting. The variation band is not a hard operational boundary. Attempting to force inflation to stay within the band each quarter would be counterproductive; flexible price adjustment is necessary for efficient resource allocation in the economy.

The anchor serves three essential roles:

1. Expectation Formation: It provides a benchmark for wage and price setting.
2. Policy Discipline: It constrains Short-term political or opportunistic pressures.

3. **Credibility:** It anchors inflation expectations, making policy more effective.

Anchored expectations reduce both inflation and output volatility, generating measurable welfare gains. Canada's experience in the early 1990s demonstrated how a transparent point target, supported by consistent policy actions, rebuilt public trust and stabilized long-term interest rates even before inflation fully converged.

3. Principle 2: Consistency Among Objectives

The second principle concerns the coherence between the inflation target and other policy goals—growth, employment, and financial stability. Freedman and Laxton (2009) argue that consistency is achieved when all objectives operate under a single overarching mandate: maintaining low, stable, and predictable inflation. Pursuing conflicting short-run goals undermines credibility and creates confusion.

The Bank of Canada's framework illustrates this principle. By keeping price stability at the core, it avoided the temptation to fine-tune short-term outcomes. Similarly, the Reserve Bank of New Zealand evolved toward a flexible framework that allowed temporary deviations during shocks without sacrificing long-run credibility.

4. Evidence from Experience

Empirical evidence shows that clear anchors and consistent objectives improve welfare. Countries with strong anchoring—such as Canada, New Zealand, the United Kingdom, and later the Czech Republic—experienced lower volatility and faster recoveries from shocks. Cross-country comparisons in Freedman and Laxton (2009) show that credibility gains were strongest where targets were explicit, communication transparent, and objectives aligned.

5. Lessons for FPAS Mark II

In FPAS Mark II, these principles define the entire forecasting and decision-making process. The point target guides scenario design, forecast discussions, and communication. Consistency ensures that messages to the public, government, and financial sector remain aligned. This disciplined yet flexible structure allows policymakers to make decisions that are credible and adaptive under uncertainty, the essence of prudent risk management.

Literature & Further Reading

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Script

Hello everyone, I’m **Susanna Grigoryan**, an economist at the **Central Bank of Armenia** and a **Level One student at the Global Forecasting School**. In this video, we’ll turn to the first two principles that lie at the very heart of modern monetary policy frameworks: the principle of a **clear nominal anchor** and the principle of **consistency among objectives**.

These principles ensure that monetary policy is credible, coherent, and transparent. Without a clear anchor, policy loses direction. Without consistency, even a credible anchor can lose meaning. As Freedman and Laxton (2009) highlight, these principles form the operational backbone of successful inflation-targeting regimes.

Let’s begin with the first principle — a clear nominal anchor. Think of it as the compass of monetary policy: the fixed point that helps everyone navigate uncertainty. In FPAS Mark II, this anchor is a **point target**, supported by a **variation band** that communicates uncertainty. The band is not something policymakers try to defend mechanically; it simply reflects the reality that inflation fluctuates as the economy adjusts.

The anchor shapes expectations, enforces discipline, and strengthens credibility. When expectations are well-anchored, inflation and output volatility fall, improving overall welfare. Canada’s experience in the early 1990s shows how quickly credibility can be rebuilt when policy actions consistently support the target.

Now for the second principle — consistency among objectives. A central bank must ensure its goals work together rather than against each other. When price stability forms the foundation, other objectives such as growth, employment, and financial stability become more sustainable.

Freedman and Laxton (2009) show that successful inflation-targeting regimes align all objectives under a single overarching mandate: maintaining low, stable, and predictable inflation. Short-term trade-offs are recognized, but long-term consistency is always preserved.

Experience from Canada, New Zealand, the United Kingdom, and the Czech Republic reinforces that clear anchors and consistent objectives reduce macroeconomic volatility and build resilience.

For Armenia's FPAS Mark II framework, these principles guide the entire forecasting and decision-making process. The point target directs analysis and communication. Consistency ensures that messages to the public, government, and financial sector are aligned and credible.

To sum up, these two principles — a clear nominal anchor and consistency among objectives — are what make monetary policy effective, credible, and resilient. They help central banks stay focused on maintaining public trust and economic stability, even in uncertain times.

In our next video, we'll move on to Principles Three and Four, exploring how monetary policy interacts with fiscal policy and the real economy. Thank you for watching, and I look forward to seeing you in the next episode of the CBA Academy.

See you there.